treasuries in the provinces at centers where the RBI was not established should continue to be handled either by the Imperial Bank as agent of the RBI or by the government itself.[6]

The RBEC was in favour of the Imperial Bank, which was for all practical purposes ‘a State-sponsored institution’, retaining, and in certain circumstances extending, its pre-eminent position in treasury arrangements. However, in the Committee’s view, the patronage it received from the State justified the popular expectation that the bank would develop as a national organization. But nationalization was not the best means of achieving this objective. It was necessary in the country’s interest that the Imperial Bank retained its commercial character, and ‘existing restrictions on its business were quite sufficient’ for the proposed ends. The case for bringing the bank under more effective public regulation would be met by the government resuming some of the powers over the institution which it had allowed to lapse upon the formation of the RBI. Whatever the final means adopted, the Committee felt, they should not be such as to promote official or political interference in the routine working of the institution.

The measures which the Committee proposed involved, chiefly, the reconstitution of the top management of the bank. Two alternative proposals were advanced in this connection. According to the first, the Managing Director and Deputy Managing Director of the bank would be appointed with the approval of the Government of India, which would also have the right to demand their removal from office if they ceased to enjoy its confidence. In addition, the Committee suggested restoring the pre-1935 authority of the government in the bank’s affairs, whereby its nominee on the bank’s Board had the power to seek postponement or review of decisions bearing on the national policy of the government. In order to make government representation on the Board more effective, its nominees were also to have seats on the Committee of the Central Board. Alternatively, as agreed informally earlier, the RBEC suggested that the Central Board of the Imperial Bank should be reconstituted on the pattern of other commercial banks, with overall policy and general superintendence being placed in the charge of a Chairman, whose appointment would be subject to government approval, and a Board of Directors, two of whose members would be nominated by the government on the recommendations of the RBI. The day-do-day functioning of the bank was to be entrusted to a